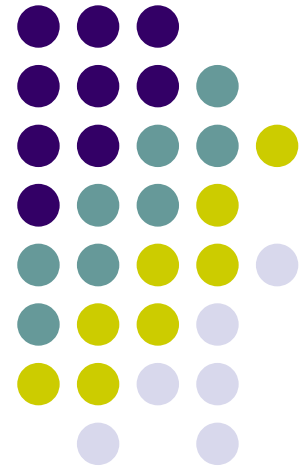
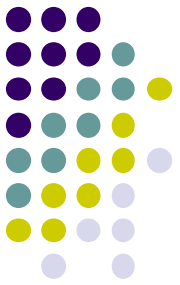


IAS 40

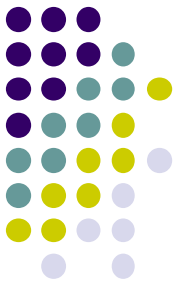
Investment Property (IP)





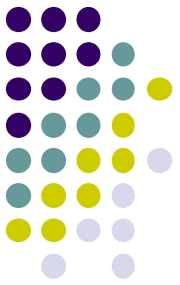
IAS 40 - Overview

- Objective and scope
- Recognition
- Measurement at recognition
- Measurement after recognition
- Transfers
- Derecognition
- Disclosures



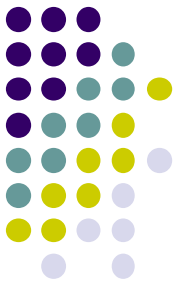
Objective

- IAS 40 identifies what an investment property is, how it differs from property, plant and equipment (owner-occupied property); and what recognition, measurement and disclosure standards apply to investment properties.



Definition

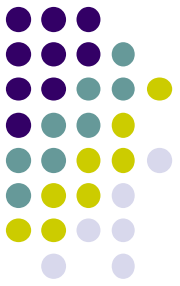
- Investment property is property (land or a building—or part of a building—or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation (an increase in the price or value of assets) or both ,
- Rather than for:
 - a. use in the production or supply of goods or services or for administrative purposes; or (IAS 16)
 - b. sale in the ordinary course of business. (IAS 2)



Scope

- IAS 40 applies to all investment property including those:
 - held by a **lessee** under a **finance lease** and leased out under an operating leases
 - held by a **lessor** and rented out under an **operating leas**

When is property investment property?

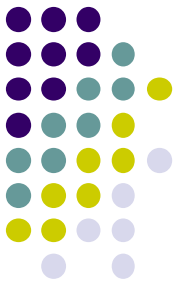


YES

- Land held for LT capital appreciation rather than sale in the ordinary course of business;
- Land held for a currently, undetermined future use;
- Building owned by the entity (or held by the entity under a finance lease and leased out under one or more operating leases;
- Building that is vacant but is held to be leased out under one or more operating leases ; and
- Property being constructed or developed for future use as investment property.

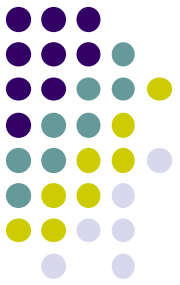
NO

- Property intended for sale in the ordinary course of business or in the process of construction or development for such sale (IAS 2 *Inventories*;
- Property being constructed or developed on behalf of third parties (IFRS 15 *Construction Contracts*;
- Owner-occupied property (IAS 16 *Property, Plant and Equipment*; and
- Property leased to another entity under a finance lease.



Initial Recognition

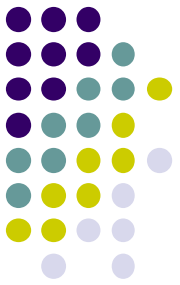
- Investment property should be recognised **initially** as an asset when and only when:
 - it is probable that the **future economic benefits** that are attributable to the investment property will flow to the entity; and
 - the **cost** of the investment property can be **measured** reliably.



Initial Measurement

- Investment property is recognized initially at cost – applying the cost model of IAS 16 *Property, Plant and Equipment* – including what is capitalized in cost and the principles for non-monetary transactions
- Leased investment property is measured according to IFRS 16 *Leases*
- The cost includes the purchase price and any directly attributable expenditure (e.g. professional fees and property taxes).

Measurement after initial recognition



- An entity has the **choice** between the:
 - **Fair value model**
 - **Cost model**
- The selected policy should be applied to *all* investment properties

Measurement after initial recognition



- Fair value model

- Price at which the property could be exchanged between knowledgeable willing parties in an arm's length transaction (both parties in the deal are acting in their own self-interest and are not subject to any pressure or duress from the other party)
- No depreciation
- A gain or loss arising from a change in the fair value should be recognized in net profit or loss

Measurement after initial recognition



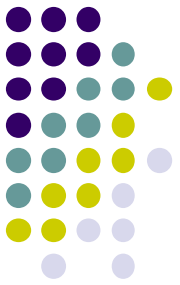
- **Cost model**
 - Assets reported at cost less accumulated depreciation and accumulated impairment losses
 - Depreciation expense recognized each period
 - Similar to the accounting for PPE in IAS 16



Example: the fair value model

- ABC Construction Limited commenced trading on Hamle 1, 2008 and has two investment properties, Abadi and Gudati, that are **let** on an arm's length basis to a third party. ABC Limited applies the **fair value model** in accounting for investment properties, which are professionally valued for the first time on Sene 30, 2009. The valuation details are as follows:

Property	Cost in million (Birr)	Fair value in Million (Birr)	Increase/Decrease in million (Birr)
Abadi	210	345	135
Gudati	390	280	(110)



Example -the fair value model

- Requirement

- Explain and set out the journal entries necessary to record the movements between cost and fair value in respect of each of the properties for the period ended Sene 30, 2009.

- Solution:

- *Abadi*

- Investment Property 135m
P/L - Gain on Inv. Prop. 135m

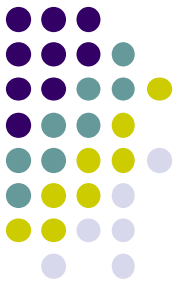
- *Gudati*

- P/L - Loss on Inv. Prop 110m
Investment Property 110m

Example: Cost & fair value models



- ABC, a construction company, purchases a property for Birr 1m on Hamle 1, 2008 for its investment potential. The land element of the cost is believed to be Birr 400,000 and the buildings element is expected to have a useful life of 50 years. At Sene 30, 2009, local property indices suggest that the fair value of the property has risen to Birr 1.1m.
- **Requirement**
- Show how the property would be presented in the financial statements as at Sene 30, 2009 if ABC adopts the:
 - (i) Cost model; and
 - (ii) Fair value model.



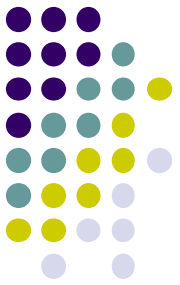
Example: cost and fair value models

- Solution:
- (i) Cost model
- Depreciation in the year is $\frac{600,000}{50} = 12,000$
- P/L = depreciation charge of 12,000; and
- SFP = property shown at NBV of $1,000,000 - 12,000 = 988,000$.



Example: cost and fair value models

- (ii) Fair value model
- SFP = property shown at fair value of Birr 1.1m;
and
- P/L = gain of Birr 0.1m representing the fair value adjustment.



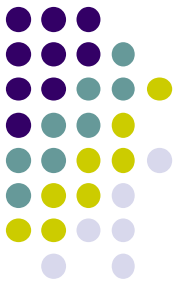
Transfers

- Transfers to, or from, investment property shall be made when , and only when , there is a change in use, evidenced by:
- (a) commencement of owner occupation, for a transfer from investment property to owner occupied property;
- (b) commencement of development with a view to sale, for a transfer from investment property to inventories;
- (c) end of owner occupation , for a transfer from owner occupied property to investment property; or
- (d) commencement of an operating lease to another party, for a transfer from inventories to investment property.



Transfers

Change in Use	Situation	Accounting
From investment property (FVM) to owner-occupied property or to inventory	Owner occupies the property or begins to develop it for sale	Deemed cost in IAS 16 or IAS 2 is FV at the date of change in use
From owner-occupied property in IAS 16 to investment property (FVM) in IAS 40	End of owner-occupation	Depreciate to the date of change; the difference between carrying amount and FV is accounted for according to the revaluation model in IAS 16
From inventory in IAS 2 to investment property (FVM) in IAS 40	Owner enters into an operating lease with a third party	Difference between IAS 2 carrying amount and IAS 40 FV is recognized in profit or loss
In progress investment property (CM) in IAS 40 to investment property (FVM) in IAS 40	Owners finish construction or development	Difference between carrying amount and FV is recognized in profit or loss

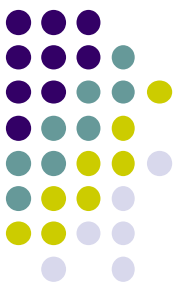


Derecognition

Derecognize investment property

- On disposal – when sold or transferred under a finance lease, or
- On retirement – when permanently removed from use and no benefits are expected from its disposal

Gains and losses on disposal generally recognized in profit or loss



Disclosures

General disclosures:

- whether the FVM or the CM is applied
- if FVM, whether and when any operating leases are classified as investment property
- criteria used to distinguish between owner-occupied investment property and property held for sale where judgment is needed
- methods and assumptions underlying fair value measurements, including extent to which market-related evidence is used
- extent to which the fair values were determined by an experienced, professional, and independent appraiser
- existence of restrictions and contractual obligations related to the properties
- amounts and specific types of income and expense recognized in profit or loss